



Nifty Short Strangle Strategy





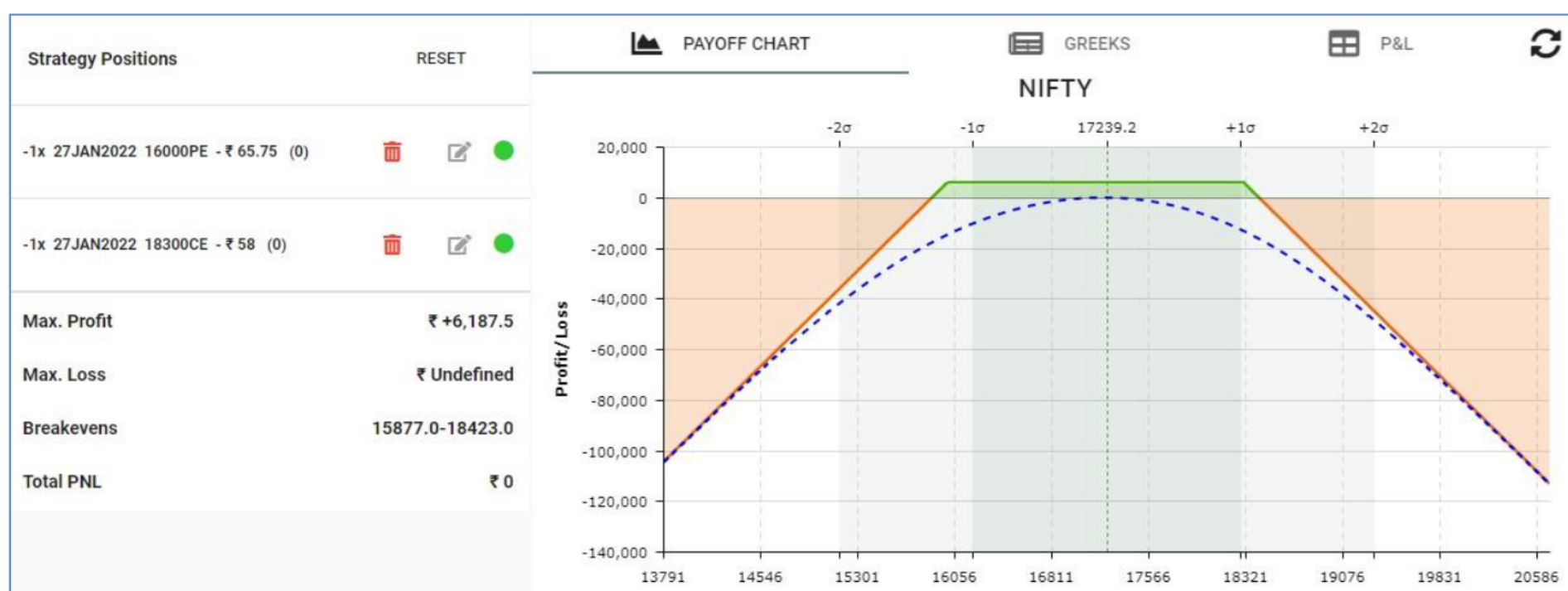
Short Strangle Strategy Rules

Note:

- Always deploy it for the next month's options. [Example: If current month is Mar, then deploy it for Apr]

Short Strangle Strategy	
Strategy Rules	Sell CE / PE -Premium between 60-70
1	Sell the CE wherever you get between 60-70 Rs. Premium and above 1200 points from the ATM [current market strike]
2	Sell the PE wherever you get between 60-70 Rs. Premium and above 1200 points from the ATM [current market strike]
Insurance Rules	Buy same month insurance 1000 points away from the sold strike in PE and CE side. [Example: if we deploy short strangle for 18500 NOV CE and 15000 NOV PE, then buy insurance of around 19500 NOV CE and of 14000 NOV PE respectively] If it is not liquid, then temporarily buy the current month and shift to the same month as soon as you see it is liquid. [Example: if we deploy short strangle for NOV month, then you can shift insurance in NOV once it is liquid]
Addition Rules	
1	If you see more than 1000 Rs. profit in the CE or PE leg, you can exit and shift the PE up or down depending on the situation. For the insurance leg, once you've booked profit in CE/PE, you must also shift down or up the insurance leg, 1000 points away from the sold strike.
2	While shifting, you must take another 60-70 RS premium in CE or PE at least above 1200 points from the ATM [current market strike]. If you are getting the next strike below 1200 points, then check for next month's strike or you can wait for 2-3 days.
3	When the premium is about to double or there is a 3500 Rs loss on either side [CE / PE], an adjustment is required.
4	Shift to next month's strike once the current month ends.

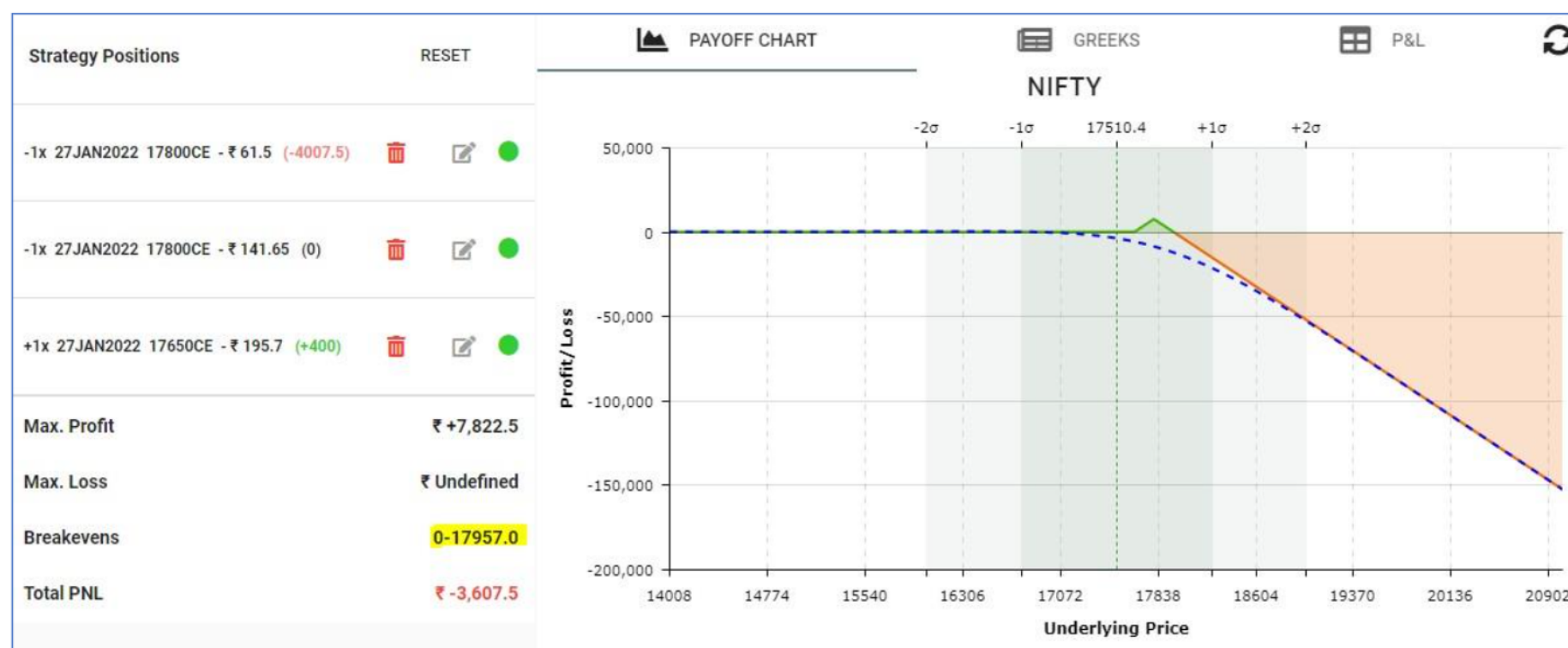
[Example: Fresh Short Strangle Trade]



Adjustments for Short Strangle

First level Adjustment for Short strangle	
Rules	Whenever you see the premium is doubled on either side OR the loss is greater than 3500 Rs, then we need to do the first level adjustment
1	Sell 1 more lot of the existing Option strike, which is doubled.
2	Calculate the total premium that you have received, including both the lots.
3	Buy one lot of the CE/PE option wherever you are paying the same or less premium as calculated above.
4	Overall, it will become a 1:2 ratio spread.

[Example: After applying the 1st level adjustment, the breakeven point is 17957]



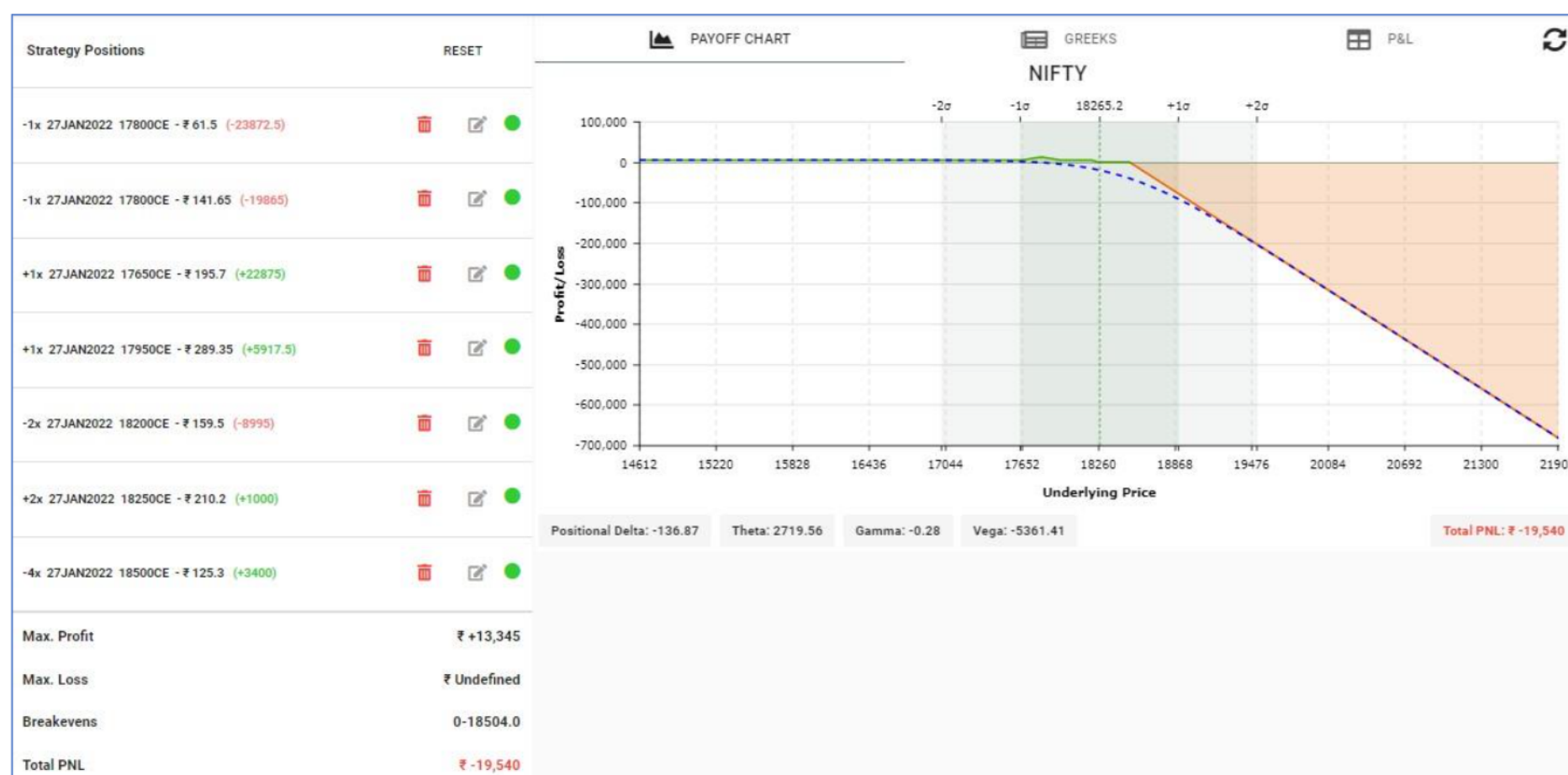
Second level Adjustment for Short strangle	
Rules	Once it reaches breakeven on the first level adjustment, then we need to do the second level adjustment.
1	Buy 1 lot of the option strike of the breakeven point, i.e., first level BEP. Suppose your breakeven for level 1 adjustment is 17957, then buy the 17950 CE strike price.
2	Sell 2 lots of the OTM Option strike, taking the equal or more premium which you have given in Buying.
3	Overall, it will again become one more 1:2 ratio spread.

[Example: After applying the 2nd level adjustment, the breakeven point is 18218]



Third level Adjustment for Short strangle	
Rules	Once it reaches breakeven on the second level adjustment, then we need to do the third level adjustment.
1	Buy 2 lots of the option strike at the breakeven point Suppose your breakeven for level 2 adjustment is 18218, then buy the 18250 CE strike price.
2	Sell 4 lots of the OTM Option strike for the same or more premium than you paid when you bought it.
3	Overall, it will again become one more 2:4 ratio spread

[Example: After applying the 3rd level adjustment, the breakeven point is 18500]





VERY IMPORTANT DO's & DONT's:

- While doing 2nd or 3rd level adjustment, make sure that strikes sold by you should NOT be bought while taking buying leg of adjustment. Otherwise, you may end up booking loss.
- Any adjustment leg shouldn't be touched at all. Do NOT book any partial leg profit. Let the whole adjustment comes to breakeven (no profit, no loss).
E.g.: If one of the adjusted legs gives profit, then you should not book it.
- Once adjustment is done, no need to exit its levels separately. (i.e., 1st Level, 2nd Level & 3rd Level adjustments). All adjustments NEEDS to be closed including all level adjustments, when you see loss is nullified.
- Let market SETTLE after opening. You should not be in a hurry to book profit and shift the leg as soon as market opens OR do adjustments as soon as the market opens.
- You may see both the legs giving combined profit of 1000 or more, you DO NOT have to book it. Profit booking of 1000 Rs is to be done on either of the legs.

